Reserve Bank of India Bill was rejected by the Legislative Assembly and in April 1928 the Royal Commission on Agriculture presided over by Lord Linlithgow presented its report in which it stressed the need for developing rural credit facilities. This along with resolutions by the Associated Chambers of Commerce and Industry (ASSOCHAM) and the Federation of Indian Chambers of Commerce and Industry (FICCI) induced the government to appoint a twenty-one-member committee headed by Sir Bhupendra Nath Mitra (the first committee to be headed by an Indian) in July 1929 to go into all aspects of banking in India. Purshotamdas was the Vice Chairman and also served as the Chairman for some time in Sir Bhupendra Nath's absence. It was a task well-suited to his knowledge and interest and one on which he had long focused his attention and study. The Committee included as its members D.P. Khaitan, B.F. Madon (who died suddenly and was replaced by Nalini Ranjan Sarker), Manu Subedar, William Lamond, Lala Harkishen Lal, R.K. Shanmukham Chetty, and Jamal Mohamed. V.K.A. Ayangar and R.P. Masani were the Secretary and Joint Secretary respectively. The examination of the fifty-five witnesses began in August 1930 and lasted till October 1930. Sir B.N. Mitra assumed charge only in April 1930 and Purshotamdas acted as the Chairman in his absence.

The scope of the enquiry was vast and covered all aspects of Indian banking. The investigation was detailed and exhaustive and traced the development of banking in India. It described the functioning of the banking system, the money market, and the Imperial Bank of India. It also studied the need for banking legislation, analyzing in detail rural credit and the credit needs of trade and industry. It had three main terms of reference: 1) the development of banking with a view to the expansion of indigenous, cooperative, and jointstock banking, with special reference to the needs of agriculture, commerce, and industry; 2) the regulation of banking with a view to protecting the interests of the public; 3) banking education with a view to the provision of Indian personnel in adequate numbers and with the necessary qualifications to meet the increasing needs of the country for a sound and well managed national system of banking.

According to Purshotamdas, 'the problems under inquiry affect vitally not only the prosperity of the masses but even their very existence under the present conditions.'[5] The Committee's findings and report formed an